ACC
ANTI-CORRUPTION COMMISSION

COMMISSION MEETING FORM

MEETING NO.	39th Commission Meeting
DATE:	12 June, 2019
TIME:	10:00 am
VENUE:	Chairperson's Chamber

#	AGENDA	DECISIONS
1.	Present the final draft concept paper on Integrity Vetting Report (IVR)- Task Force *As decided in the 35th Commission meeting held on 2nd April 2019, the concept paper was revised by the Task Force.* *The copy of final draft is attached.*	• The specific comments on the draft concept paper were as follows: - The pilot testing or the first phase of the integrity vetting to also include Members of the Parliament (NA/NC); - Have provision to include the particulars of applicant in the IVR form; - To develop application form that can be used by the individuals and/or agencies concerned to request IVR; and - To include autonomous agencies in addition to RCSC, OAG, ECB, CDB, DHI, SoEs, CSOs, private businesses, Ministries/ Dzongkhag Administrations/Constitutional offices. • The Commission approved the concept paper in principle. • Directed to initiate works related to development of the system and the specific directives were: - Target to launch the system before end of FY 2019-2020. - A team consisting of staff from ICT unit and the existing team data access, led by Commissioner/Director, to meet with agencies on possibilities of obtaining information of administrative and HR nature. However, the team to firstly discuss in-house on the details required from agencies. - Task force to continue supporting the development of the system, wherever required. - After launching the system, DoPS and LD to be the lead implementer (tentatively).

Commissioner | Commissioner | Chairperson 26/6/19

1. Introduction

The Anti-Corruption Commission (ACC) with a dual mandate of corruption prevention and deterrence consistently works towards promoting a culture of integrity within the governance system and the society at large. Building a culture of integrity and resistance to corruption promote public trust and confidence in the government. It is aptly stated in OECD 2009 report on Global Forum on Public Governance that "there is a growing understanding that integrity is a keystone of good governance, a condition for all other activities of government not only to be legitimate and trusted, but also to be effective."

Integrity violations are triggered by many factors such as lack of morality, poor ethical values, temptation of crime, failed governance, economics and weak institutional mechanisms (UNDP). From this, it can be understood that violations to integrity have both an individual and institutional component. At an individual level, violations can happen due to breach of ethical values and morality. Loopholes and opportunities in the system can be a reason for integrity violations at institutional level. It can also be due to problems in external environment like economic factors and failure of governance system. In this context, the Ethics and Integrity Infrastructure in Bhutan was reviewed by UNDP upon the request of the ACC in 2009. One of the recommendations from the review exercise is that a combination of rules-based and values-based approach must be pursued as it provides for an effective integrity system in our society. Therefore, for embedding a culture of integrity, the review outlines the following mix of:

- ✓ Strong ethical values at the individual level and public education to disseminate these values;
- ✓ Risk management and other preventive mechanisms to limit loopholes in the system and deter misconduct as well as;
- ✓ Enforcement to apply sanctions where necessary.

The ACC has developed, adapted and uses range of integrity instruments such as Model Public Service Code of Conduct, Model Guideline on Managing Conflict of Interest in the Public Sector, The Asset Declaration Rules, The Gift Rules, Corruption Risk Management Tool, Integrity Diagnostic Tool, National Integrity Assessment, E-learning courses etc. Out of these eight instruments, only two contain elements of enforcement to apply sanction, rest deals with ethical values and preventive mechanism at institutional level. Therefore, efforts to introduce tools or mechanism such as Integrity Vetting System (IVS) for enforcing of sanctions are very necessary. This is important because law enforcement initiatives and institutions targeting corruption should provide for mechanisms that can both prevent and sanction the problems (Chene 2009; Heibrunn 2004 – U4 Anti Corruption Resource Centre www.U4.no).

2. Integrity Vetting Practices

Use of vetting as mechanism exclusively for prevention or for the purpose of combating corruption is not well established. However within limited scope, it is used and known in different names such as back ground check, transnational justice system, screening process etc.

Background check is mostly used for recruitment purpose. As per Crime and Corruption Commission, Queensland, Australia, they use it for detecting serious corruption "red flags" such as prior criminal convictions, lying about qualifications or work experience, and a history of investigations or questionable conduct in previous employment of a potential employee.

In the Philippines, the Office of the Ombudsman issue Ombudsman clearance to certify that a person has no criminal, administrative and forfeiture cases pending with the Office of the Ombudsman.

Similarly, in Kenya, the Ethics and Anti-Corruption Commission uses Self-Declaration Form for Clearance to issue confidential report on the short listed candidates to the employing agency or to the panel members for recruitment purpose.

Yet in other areas, vetting is also used for institutional reform process in post-conflict settings and for issues related to security of the state. In this case, firstly, vetting is used to decide on exclusion of public employees from public offices to prevent the recurrence of human rights abuse and to overhaul systems. Secondly, law enforcement agencies like Immigration, police etc use it for screening people for various security reasons.

Therefore there is no single vetting system that is readily implementable in our context. A system suitable for our own need has to be developed. The responsibility to do so falls on agency like ACC to take the lead. One of the options is to institute integrity vetting system or screening process. Currently, such a tool, as stated previously, exclusively for prevention or for the purpose of combating corruption is not well established anywhere. It nonetheless has great scope, owing to which the ACC intends to institute it as one of the integrity promotion tools.

3. Statutory Provisions

The proposal for instituting of IVS has to be based on certain statutory provisions, policies and rules and regulations. Some of the relevant provisions are:

The Constitution of the Kingdom of Bhutan, Article 8 Section 9 states "*Every person shall have the duty to uphold justice and act against corruption*"

Article 27 Section 1 of the Constitution of the Kingdom of Bhutan states that "[...] *and shall take necessary steps to prevent and combat corruption in the Kingdom.*"

Section 24 (1) (a) of the Anti-Corruption Act of Bhutan 2011 mandates and empowers the Commission to *"Develop, maintain, revise and monitor the implementation of effective, coordinated anti-corruption policies and practices."* Also, under the same Section, (1) (j) states that the Commission has powers to *"Take any necessary steps to prevent and combat corruption."*

Section 1 and 2, Article 5 of the United Nations Convention against Corruption on Preventive anti-corruption policies and practices states:

1. Each State Party shall, in accordance with the fundamental principles of its legal system, develop and implement or maintain effective, coordinated anti-corruption policies that promote the participation of society and reflect the principles of the rule of law, proper management of public affairs and public property, integrity, transparency and accountability.

2. Each State Party shall endeavour to establish and promote effective practices aimed at the prevention of corruption.

Further, one of the four key pillars or strategic objectives in the National Integrity and Anti-Corruption Strategy (NIACS 2014-2018), a national document, is to *'Strengthen systems to prevent and combat corruption'* by instituting effective policies, strategies, rules and standard operating protocols.

Moreover, "Corruption Reduced" is 12th National Key Result Area that is applicable to all the budgetary agencies in the 12th FYP.

4. Integrity Vetting Framework

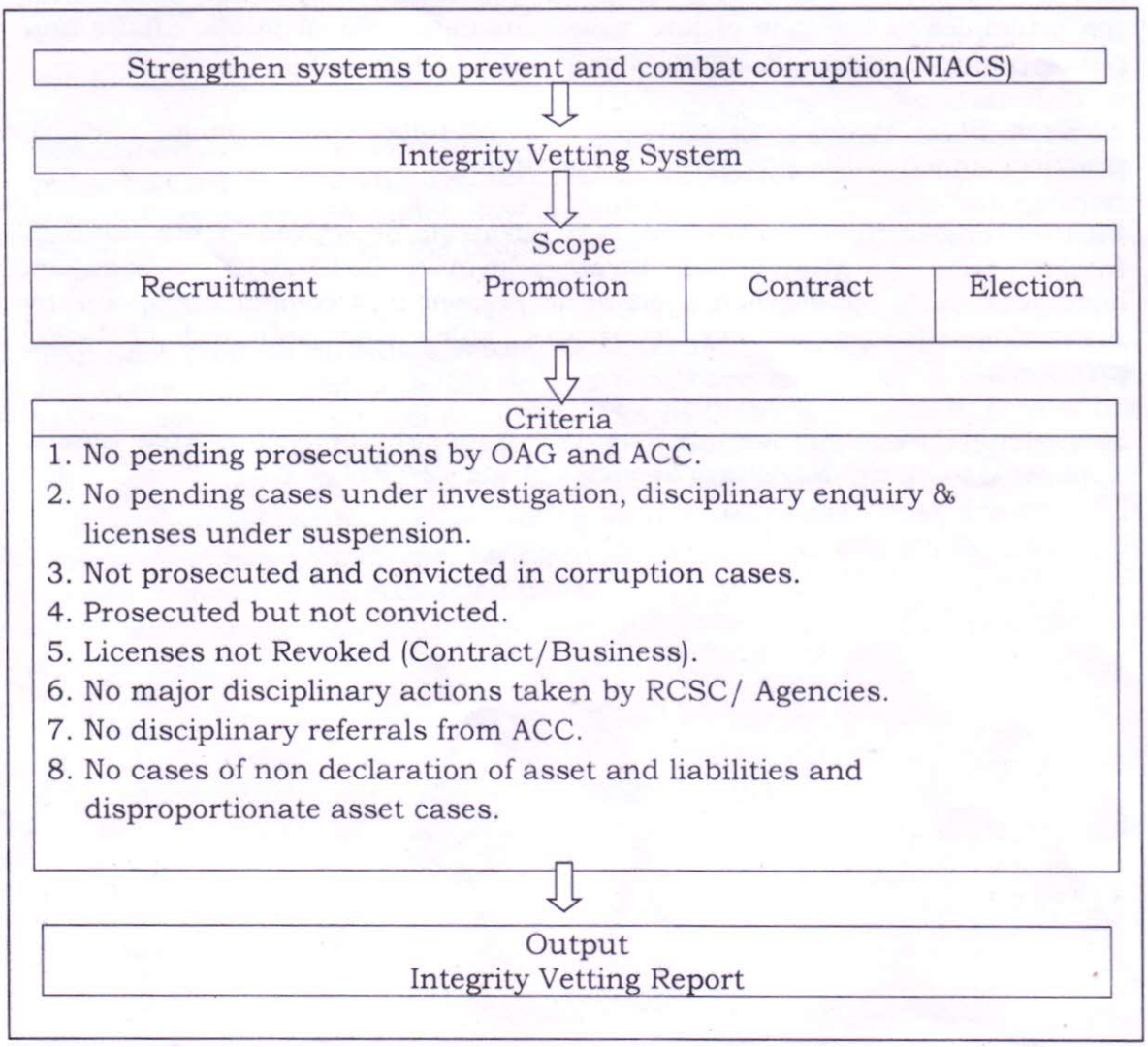
The Integrity Vetting Framework lay down the overall logical flow or steps leading to institution of IVS.

The framework consists of:

- ✓ Objective 4 of the National Integrity and Anti-Corruption Strategy as starting point for developing of IVS;
- ✓ Scope or areas to cover by the IVS;
- ✓ Criteria or basis on which IVS would be based on;
- ✓ Procedure or process in the system; and
- ✓ Output

At the apex is one of the objectives of the National Integrity and Anti-Corruption Strategy (NIACS) - the overall national anti-corruption strategy. Other two important components are the scope and criteria set out to define the coverage and what to vet respectively.

Table 1 Integrity Vetting Framework



4.1 National Integrity and Anti-Corruption Strategy

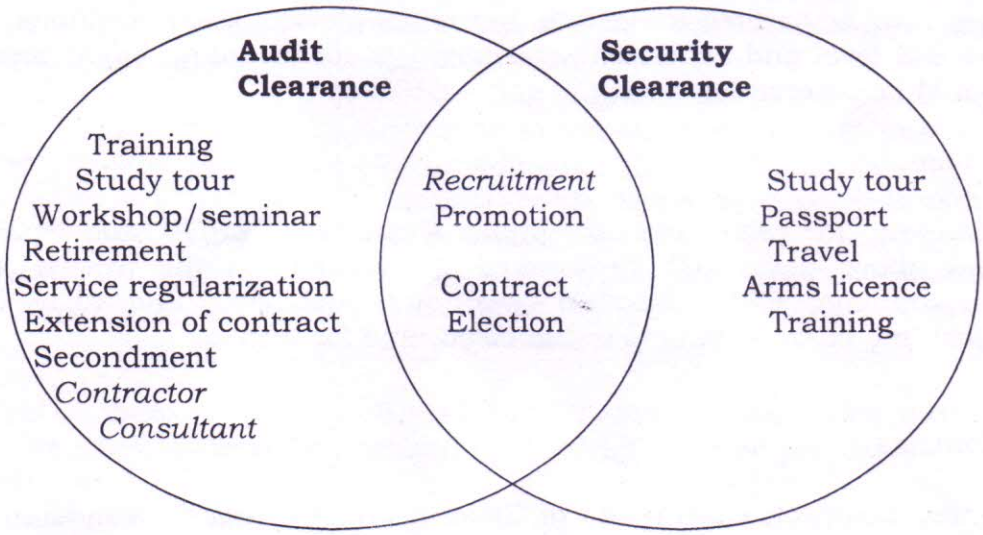
Of the four strategic objectives of NIACS 2014-18, the fourth objective to *Strengthen systems to prevent and combat correction* is relevant for Integrity Vetting Framework. This objective emphasize not only on instituting of corruption prevention remedial measures such as effective policies, strategies, rules and standard operating protocols but also on application or enforcing of measures. It also highlights that an absence of platforms and structures for sharing of information and resources among the law enforcement and regulatory agencies lead to an area of common lapse of not enforcing even the existing systems across agencies. In this regard, the IVS besides being an enforcement tool, but also would be operationalized based on information gathered from other law enforcement and regulatory agencies like RCSC, OAG, ECB, CDB, DHI, SoEs, CSOs, Private Businesses, Ministries/Dzongkhag Administrations/Constitutional offices/autonomous agencies and organizations.

4.2 Scope

The scope shows the areas to be covered by vetting for determining the issuance of integrity vetting report.

Except for recruitment, the elements in the scope have been drawn from the audit and security clearances as can be seen in the intersection area in diagram 1 below.

Diagram 1



Complaints by area of alleged corruption offences in ACC Annual Report (2017) as shown below also indicate that problems are reasonably high in personnel and contract.

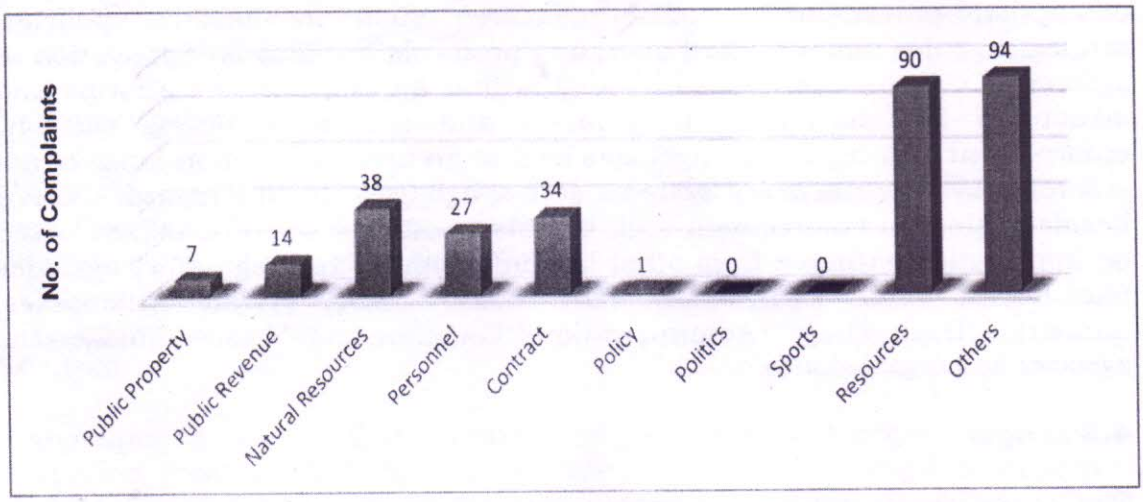


Figure 2.7 Complaints by area of alleged corruption offences

The coverage of vetting is initially for selected public and private individuals of selected organizations in following areas:

✓ Recruitment

Within recruitment, public servants in ES/P1 and equivalent and above posts will be covered for vetting. In the private sector, corporations, CSOs etc GM level and equivalent and above posts including board members would be covered for vetting.

✓ Promotion

Similarly, for promotion too, public servants in ES/P1 and equivalent and above posts will be covered for vetting. In the private sector, corporations, CSOs etc GM level and equivalent and above posts including board members would be covered for vetting.

✓ Contract

Under contract, contractors of Class A and B/Large and medium level and under consultancy services, those registered with CDB for construction industry works are covered for vetting.

✓ Election

For election, Member of Parliament (NA/NC), Gups and Mangmis from gewogs and from Thromde, Thrompon, Thromde Tshogpas and Ngotshabs are covered for vetting.

4.3 Criteria

The criteria set out form the basis for issuance of integrity vetting report under different circumstances.

The criteria to be used for vetting are:

1. No pending prosecutions by OAG and ACC.
2. No pending cases under investigation, disciplinary enquiry & licenses under suspension.
3. Not prosecuted and convicted in corruption cases.
4. Prosecuted but not convicted.
5. Licenses not Revoked (Contract/Business).
6. No major disciplinary actions taken by RCSC/ Agencies.
7. No disciplinary referrals from ACC.
8. No cases of non declaration of assets and liabilities and disproportionate asset cases.

Further elaboration on the above set of criteria is given in table 1.

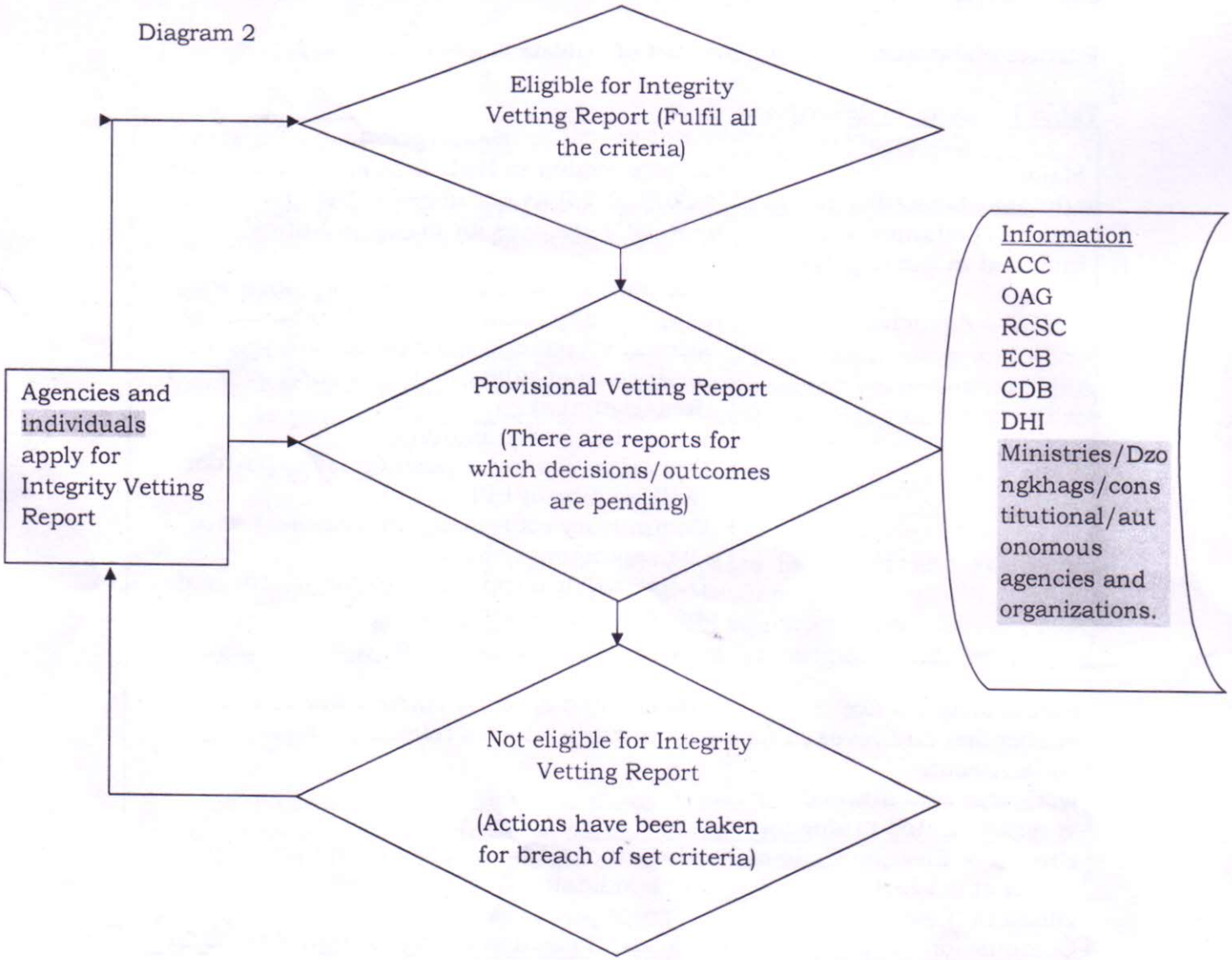
Table 1. Criteria description

Criteria	Description
Major administrative/disciplinary actions/penalties and included in the negative list (RCSC / Agencies)	Matters related to HRD & M for civil servants (BCSR 19.15) as per negative list maintained by RCSC/agencies for major penalties: Civil servants who have been punished with major penalty (BCSR 19.12.12)consisting of: -Annual increment withheld for 3-5 years, - Reduction of salary below existing pay level - Reassignment -Withholding of promotion -Demotion to a lower position level/position - Withholding of LTT, -Compulsory retirement from services with post retirement benefit, -Dismissal or termination of service without post retirement benefits
Blacklisted, licence suspended and revoked for construction work and consultancy services related problems	- Blacklisted for construction works and consultancy services related problems
Breach of Election Code of Conduct & Electoral Offences (Election Commission of Bhutan)	- Breach of election code of conduct for party and candidates -Corrupt practices -Misuse of election fund (through RAA audit –

	if yes, duplication in audit clearance)
Complaints and integrity violations including non declaration of assets and liabilities & DA cases. (Anti-Corruption Commission, OAG)	All complaints and cases as follows: 1.Compliants with potential elements of corruption going on with enrichment 2. Ongoing cases of investigations 3. Cases forwarded to Office of the Attorney General.

4.4 Process: Vetting system flow chart

Diagram 2



The flow chart in diagram 2 show the processes involved in the vetting system using the data and information from the systems of the collaborating stakeholders. The three main steps involved in the process of vetting are:

1. Issuance of integrity vetting report if there are no reports of violations as per the set criteria;

2. Issuance of provisional integrity vetting report when there are reported cases for which decision outcomes are still pending; and

3. Denial of integrity vetting report because there are reported cases of infringements/integrity violations on which actions have been taken.

5. Conclusion and way forward

- ✓ Seek endorsement of the concept paper.
- ✓ Form information gathering team lead by Commissioner/Director: propose existing Data Access Team + one IT personnel.
- ✓ Develop integrity vetting system by the ACC IT Section.
- ✓ Task force support to continue whenever necessary.
- ✓ Plan for launching in Financial Year 2019-2020.
- ✓ Dissemination through Commission's order and media.
- ✓ Implementation by DoPS and LD.

References:

1. The Anti-Corruption Act of Bhutan 2011.
2. Judicial integrity and the vetting process in Kenya, Volume I No 6 September 2010, UNDP *(https://www.cipe.org/resources/).*
3. Vetting Public Employees in Post-conflict Settings, Operational Guidelines, UNDP *(https://www.ictj.org/sites/default/files/ICTJ-UNDP-Global- Vetting-Operational-Guidelines-2006-English.pdf).*
4. Personnel security guidelines Vetting Practices, Approved November 2014, Amended December 2017, Version 1.4 (Attorney-General's Department 3–5 National Cct BARTON ACT 2600 , *Email: copyright@ag.gov.au*).
5. Strengthening the Anti-Corruption Commission (40124-012 Implementation of the Institutional Development Plan, 2011-2020 FINAL REPORT.
6. Guidelines on the issuance of Ombudsman Clearance *(https://www.ombudsman.gov.ph*).
7. Instruction for application for clearance from Ethics and Anti-Corruption Commission, Kenya *(www.eacc.go.ke).*
8. Guidelines for Fixing accountability against contractors and consultants related to audit findings *(www.bhutanaudit.gov.bt).*
9. https://estk.sprm.gov.my/v2/default.phpork culture.
10. (OECD), Towards a Sound Integrity Framework: Instruments, Processes, Structures and Conditions for Implementation).

SAMPLE/DRAFT INTEGRITY VETTING REPORT

DRAFT INTEGRITY VETTING REPORT

ANTI-CORRUPTION COMMISSION

Integrity Vetting Report

IVR No..... Date .....

Name .....

1.No Adverse Report ☐

2.Provisional Report ☐

3.Not Eligible for Report ☐

Terms and conditions

1. Validity: 1 year (from the date of issue).
2. IVR is issued based on review of information/data related to integrity violations/corruption as of date of issue of this report.
3. IVR shall become invalid even before expiry of validity period if new information on infringement is detected/reported or made available to ACC subsequent to issue of this IVR.
4. Requirement of IVR shall be compulsory for all agencies in selected areas. However, implementation of IVR for decision making is at the discretion of the agencies.
5. Provisional Report is issued under instances where the decision outcome of reported cases are pending. Therefore, agencies shall exercise due caution in taking decisions in regard to those issued with provisional report.